In the third quarter of financial year 2020–21, the government received net tax revenues of Rs 5,03,891 crore. This was much higher than the Rs 2.97 lakh crore received in the third quarter of 2019–20. At the end of December 2020, net tax receipts were at Rs 9.62 lakh crore, compared to the net tax revenues of Rs 9.05 lakh crore received in the previous fiscal. In the third quarter, not only did the government make up for the entire shortfall for the first two quarters but also recorded an increase of Rs 0.57 lakh crore over the previous year (6.35 per cent).

Having burnt its fingers the previous two years, the government played it safe while projecting tax revenues in the revised estimates. The revised estimate of financial year 2020–21 at Rs 13.45 lakh crore was much lower than the budgeted estimate of Rs 16.36 lakh crore. This assumed that the government would receive only Rs 3.83 lakh crore of net tax revenues (Rs 13.45 lakh crore minus Rs 9.62 lakh crore). These estimated revenues were far less than the net tax revenues of Rs 5.04 lakh crore collected in the third quarter of financial year 2020–21 and Rs 4.51 lakh crore collected in the last quarter of 2019–20.

The government’s net tax revenues for financial year 2020–21 are likely to exceed Rs 15 lakh crore, about Rs 1.5 lakh crore higher than the revised estimates.

Excise Duties were the Saviour of the Government’s Tax Performance

The contrast of the revised estimates of financial year 2020–21 with budgeted estimates tells an interesting story.

The government projected excessively lower gross tax receipts from CIT (down from Rs 6.81 lakh crore to Rs 4.46 lakh crore) and PIT (from Rs 6.38 lakh crore to Rs 4.59 lakh crore). These estimates were much lower than the actual CIT collected in 2019–20 (Rs 5.57 lakh crore) and PIT (Rs 4.92 lakh crore).